



ABV- Indian Institute of Information Technology and Management, Gwalior
(An Institute of National Importance, Ministry of Education, GOI)
Minor Examination, Odd Semester (2024-2025) – IMG/MBA

Course Title: Financial Reporting & Management Accounting (IMMG-4104/MBMG-6105)

Time: 120 Minutes

Total Marks: 30

Attempt all questions.

1. Following is the Trial Balance of M/s Brijesh and Sons. Prepare final accounts for the year ended on 31st March 2013. [10]

Particulars	Debit (₹)	Credit (₹)
Stock as on 01-04-2012	2,00,000	
Purchases and Sales	22,00,000	35,00,000
Bills receivables	50,000	
Returns	1,00,000	50,000
Carriage Inwards	50,000	
Debtors and Creditors	2,00,000	4,00,000
Carriage Outwards	40,000	
Discounts	5,000	5,000
Salaries and wages	2,20,000	
Insurance	60,000	
Rent	60,000	
Wages and salaries	80,000	
Bad debts	10,000	
Furniture	4,00,000	
Brijesh's capital		5,00,000
Brijesh's drawing	70,000	
Loose tools	1,00,000	
Printing & stationery	30,000	
Advertising	50,000	
Cash in hand	45,000	
Cash at bank	2,00,000	
Petty Cash	5,000	
Machinery	3,00,000	
Commission	10,000	30,000
Total	44,85,000	44,85,000

Adjustments:

- (1) Stock on 31st March was valued at Cost price ₹ 4,20,000 and market price ₹ 4,00,000.
- (2) Depreciate furniture @ 10% p.a. and machinery @ 20% p.a. on reducing balance method.
- (3) Rent of ₹ 5,000 was paid in advance. (4) Salaries & wages due but not paid ₹ 30,000.
- (5) Make a provision for doubtful debts @ 5% on debtors. (6) Commission receivable ₹ 5,000.

2. Discuss in detail **with suitable examples**: (Any two) [8]

- a) The Concept of Materiality
- b) The Cost Concept
- c) The Accrual Concept
- d) The Conservatism Concept

3. Journalize the following transactions in the books of M/s Raju & Sons, post them into ledger and prepare trial balance for January 20XX: [12]

Jan 1	Cash brought in by Raju as his capital ₹2,00,000. Furniture purchased on credit from Nuluk Furniture Home ₹25,000.
Jan. 2	Goods purchased from Modi & Sons on credit ₹61,400.
Jan. 3	Goods purchased for cash ₹35,000.
Jan. 4	Goods purchased from Delhi Traders on credit ₹73,300.
Jan. 5	Cash sales ₹4,600.
Jan. 8	Sold goods to Bhatia & Co. on credit ₹19,860.
Jan. 11	Purchased stationery for cash ₹1,050.
Jan. 12	Paid Modi & Sons cash to settle account. Received 5% discount from the firm.
Jan. 13	Received from Bhatia & Co. in full settlement of account ₹19,800.
Jan. 17	Cash sales ₹10,700.
Jan. 18	Sold on credit to Ganesh & Co. ₹5,000.
Jan. 19	Received cash from Ganesh & Co. ₹1,000.
Jan. 21	Sold on credit to Hoshiar Singh ₹4,000.
Jan. 23	Purchased goods for cash ₹26,000.
Jan. 27	Hoshiar Singh becomes insolvent. A first and final dividend of ₹3,000 is received from his estate.
Jan 31	Ganesh & Co. pays cash ₹3,900. Discount allowed to Ganesh & Co. ₹100. Cash paid for rent ₹2,800. Depreciation on furniture ₹250. Payment to Delhi Traders in full settlement ₹73,000.



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Course Title: Financial Reporting & Management Accounting/FRC (IMMG-4104/MS-605)

Time: 180 Minutes

Total Marks: 40

Attempt a total of 6 questions: Questions 2, 3, 6, and 7 are compulsory, and from Questions 1, 4, and 5, attempt any two. Calculators are allowed.

1. ABC Ltd. is currently operating at 75% of its capacity. In the past two years, the levels of operations were 55% and 65%, respectively. Presently, the production is 75,000 units. The company is planning for 85% capacity level during 2021-22. The cost details are as follows: [5]

Capacity Level	Direct Materials (₹)	Direct Labour (₹)	Factory Overheads (₹)	Selling Overheads (₹)	Administrative Overheads (₹)	Total (₹)
55%	11,00,000	5,50,000	3,10,000	3,20,000	1,60,000	24,40,000
65%	13,00,000	6,50,000	3,30,000	3,60,000	1,60,000	28,00,000
75%	15,00,000	7,50,000	3,50,000	4,00,000	1,60,000	31,60,000

Profit is estimated at **20% on sales or 25% on total cost.**

The following increases in costs are expected during the year: Direct materials and variable selling overheads are expected to increase by 8%, direct labour and variable factory overheads by 5%, fixed factory overheads by 10%, fixed selling overheads by 15%, and administrative overheads by 10%.

Prepare the flexible budget for the period 2021-22 at 85% capacity and calculate the profit and contribution.

2. The sports material manufacturing company budgeted the following data for the coming year. [5]

Particulars	Amount (₹)
Sales (1,00,000 units)	1,00,000
Variable cost	40,000
Fixed cost	50,000

Find out: (a) P/V Ratio, B.E.P and Margin of Safety

(b) Evaluate the effect of following with reference to P/V Ratio, B.E.P and Margin of Safety

- 1) 20% increase in physical sales volume
- 2) 5% decrease in variable costs
- 3) 10% increase in fixed costs
- 4) 10% decrease in fixed costs
- 5) 10% decreases in selling price and 10% increase in sales volume
- 6) 10% increase in selling price and 10% decrease in sales volume
- 7) ₹ 5,000 variable cost decrease accompanied by ₹ 15,000 increase in fixed costs.

3. Krishna Ltd furnished the following information:

Particulars	2004-2005 (Amount in ₹)	2005-2006 (Amount in ₹)
Sales (₹ 10/ unit)	2,00,000	2,50,000
Profit	30,000	50,000

You are required to compute:

- P/V Ratio and Break-even point
 - Total variable cost for 2004-2005 & 2005-2006
 - Sales required to earn a profit of ₹ 60,000
 - Profit/Loss when sales are ₹1,00,000
 - Margin of Safety when Profit is ₹80,000
 - During 2006-2007, due to increase in cost, variable cost is expected to rise to ₹ 7/unit and fixed cost to ₹ 55,000. If the selling price cannot be increased, what will be the amount of sales to maintain the profit for 2005-2006?
4. NPX Ltd. uses a standard costing system for the manufacture of its product X. Below are the relevant details [5]

Labour Type	Budget Data for 1 Unit of Product X		Actual Data for January (10,000 Units Produced)		Actual Idle Hours (Abnormal) (Month)
	Hours	Rate (₹)	Hours	Rate (₹)	
Skilled	2	6	18,000	7	500
Semi-Skilled	3	4	33,000	3.5	700
Unskilled	5	3	58,000	4	800
Total	10		1,09,000		2000

- Calculate all relevant labour variances
- Evaluate the impact on the Labor Rate Variance (LRV) if 5,000 hours of Skilled Labor are paid at ₹ 5.5 per hour, and the remaining Skilled Labor hours are paid at ₹ 7 per hour.

5. The following data is provided for analyzing all relevant material variances. [5]

Material	Standard Cost of Chemical Mixture		Actual Usage and Cost	
	Proportion (%)	Standard Rate (₹/kg)	Quantity Used (kg)	Actual Rate (₹/kg)
A	40%	20	90	18
B	60%	30	110	34

With a standard loss of 10% of input expected in production, the actual output achieved was 182 kg of good product.

6. Discuss in detail with suitable examples: (Any four) [12]
- Responsibility Accounting
 - CVP Analysis
 - The Concept of Consistency
 - The Prudence Concept
 - Classification of Variances
 - Advantages and Limitation of Budgetary Control System

From the information given below you are required to prepare a Cash Budget of Govind Limited [7]
for the first half year of 2021, year of assuming that costs would remain unchanged.

- a) Sales are both on credit and for cash, the latter being one third of the former.
- b) Realizations from debtors are 25% in the month of sale; 60%, in the month following that and the balance in the month after that.
- c) The company adopts a uniform pricing policy of the selling price being 25% over cost.
- d) Budgeted sales of each month are purchased and paid for in the preceding month.
- e) The company has outstanding debentures of ₹ 2 lakhs on 1st January, which carry interest at 15% per annum payable on the last date of each quarter on a calendar year basis. 20% of the debentures are due for redemption, on 30th June 2021.
- f) The company has to pay the last instalment of advance tax, for assessment year 2021-22, amounting to ₹ 54,000.
- g) Anticipated office costs for the six-month period are -January ₹ 25,000; February ₹ 20,000; March ₹ 40,000; April ₹ 35,000; May ₹ 30,000 and June ₹ 45,000.
- h) The opening cash balance of ₹ 10,000 is the minimum cash balance to be maintained. Deficits have to be met by borrowings in multiples of ₹ 10,000 on which interest, on a monthly basis, has to be paid on the first date of the subsequent month at 12% p.a. Interest is payable for a minimum period of one month.
- i) Rent payable is ₹ 2,000 per month.
- j) Sales forecast for the different months are:
Oct'20 - ₹ 160,000; Nov'20 - ₹ 1,80,000; Dec'20 - ₹ 2,00,000; Jan'21 - ₹ 2,20,000; Feb'21 - ₹ 1,40,000; Mar'21 - ₹ 1,60,000; Apr'21 - ₹ 1,50,000; May'21 - ₹ 2,00,000; Jun'21 - ₹ 1,80,000 and Jul'21 - ₹ 1,20,000.

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1. ABC Ltd. is currently operating at 75% of its capacity. In the past two years, the levels of operations were 55% and 65%, respectively. Presently, the production is 75,000 units. The company is planning for 85% capacity level during 2021-22. The cost details are as follows: [5]

Capacity Level	Direct Materials (₹)	Direct Labour (₹)	Factory Overheads (₹)	Selling Overheads (₹)	Administrative Overheads (₹)	Total (₹)
55%	11,00,000	5,50,000	3,10,000	3,20,000	1,60,000	24,40,000
65%	13,00,000	6,50,000	3,30,000	3,60,000	1,60,000	28,00,000
75%	15,00,000	7,50,000	3,50,000	4,00,000	1,60,000	31,60,000

Profit is estimated at **20% on sales or 25% on total cost.**

The following increases in costs are expected during the year: Direct materials and variable selling overheads are expected to increase by 8%, direct labour and variable factory overheads by 5%, fixed factory overheads by 10%, fixed selling overheads by 15%, and administrative overheads by 10%.

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Prepare the flexible budget for the period 2021-22 at 85% capacity and calculate the profit and contribution.

2. The sports material manufacturing company budgeted the following data for the coming year. [5]

Particulars	Amount (₹)
Sales (1,00,000 units)	1,00,000
Variable cost	40,000
Fixed cost	50,000

Find out: (a) P/V Ratio, B.E.P and Margin of Safety

(b) Evaluate the effect of following with reference to P/V Ratio, B.E.P and Margin of Safety

- 1) 20% increase in physical sales volume
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3. Krishna Ltd furnished the following information:

Particulars	2004-2005 (Amount in ₹)	2005-2006 (Amount in ₹)
Sales (₹ 10/ unit)	2,00,000	2,50,000
Profit	30,000	50,000

You are required to compute:

- P/V Ratio and Break-even point
- Total variable cost for 2004-2005 & 2005-2006
- Sales required to earn a profit of ₹ 60,000
- Profit/Loss when sales are ₹1,00,000
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- During 2006-2007, due to increase in cost, variable cost is expected to rise to ₹ 7/unit and fixed cost to ₹ 55,000. If the selling price cannot be increased, what will be the amount of sales to maintain the profit for 2005-2006?

4. NPX Ltd. uses a standard costing system for the manufacture of its product X. Below are the relevant details [5]

Labour Type	Budget Data for 1 Unit of Product X		Actual Data for January (10,000 Units Produced)		Actual Idle Hours (Abnormal) (Month)
	Hours	Rate (₹)	Hours	Rate (₹)	
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Semi-Skilled	3	4	33,000	3.5	700
Unskilled	5	3	58,000	4	800
Total	10		1,09,000		2000

- Calculate all relevant labour variances
- Evaluate the impact on the Labor Rate Variance (LRV) if 5,000 hours of Skilled Labor are paid at ₹ 5.5 per hour, and the remaining Skilled Labor hours are paid at ₹ 7 per hour.

5. The following data is provided for analyzing all relevant material variances. [5]

Material	Standard Cost of Chemical Mixture		Actual Usage and Cost	
	Proportion (%)	Standard Rate (₹/kg)	Quantity Used (kg)	Actual Rate (₹/kg)
A	40%	20	90	18
B	60%	30	110	34

With a standard loss of 10% of input expected in production, the actual output achieved was 182 kg of good product.

6. Discuss in detail **with suitable examples**: (Any four) [12]

- Responsibility Accounting
- CVP Analysis
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Time: 180 Minutes

Total Marks: 50

*Question 8 is compulsory; attempt any 6 questions from the remaining 7.
Questions 1-7 are of 6 marks each, and Question 8 is of 14 marks.
Calculators are allowed.*

1. GAP Limited operates a system of standard costing in respect of one of its products which is manufactured within a single cost centre. Following are the details: [6]

Budgeted Data				Actual Data			
Material	Qty	Price (₹)	Amount (₹)	Material	Qty	Price (₹)	Amount (₹)
A	60	20	1200	A	70	?	?
B	40	30	1200	B	?	30	?
Inputs	100		2400				
Normal Loss	20						
Outputs	80		2400	Outputs	80		

Additional Information:

- Material Price Variance: ₹105 (Adverse)
- Material Cost Variance: ₹275 (Adverse)

You are required to calculate all relevant material variances.

2. A manufacturer with overall (interchangeable among the products) capacity of 1,00,000 machine hours has been so far producing a standard mix of 15,000 units of product A, 10,000 units of product B and C each. [6]

From experience, the total expenditure exclusive of his fixed charges is found to be ₹ 2.09 lakhs and the cost ratio among the products is approximately 1, 1.5, 1.75 respectively per unit. The fixed charges come to ₹ 2 per unit. When the unit selling prices are ₹ 6.25 for A, ₹ 7.5 for B and ₹10.5 for C. He incurs a loss.

	Mix-I	Mix-II	Mix-III
A	18,000	15,000	22,000
B	12,000	6,000	8,000
C	7,000	13,000	8,000

As a management accountant what mix will you recommend?

3. Rama Ltd. is manufacturing and selling three products X, Y, and Z. The company has a standard costing system and analyzes the variances between the budget and the actuals periodically. Calculate all the relevant Sales Margin Variances from the following information:

Product	Budgeted			Actual		
	Selling Price per unit (₹)	Cost per Unit (₹)	Quantity (units)	Selling Price per unit (₹)	Cost per Unit (₹)	Quantity (units)
X	50	16	20,000	48	15	24,000
Y	40	12	28,000	42	12.5	24,000
Z	30	9	32,000	31	10	30,000

4. The following data relate to the working of a small factory at Wardha for the current quarter: [6]

Capacity worked, 50 per cent	Capacity worked, 50 per cent
Fixed Costs:	Variable Costs:
1. Salaries: ₹84,000	1. Materials: ₹2,40,000
2. Rent and rates: ₹56,000	2. Labour: ₹2,56,000
3. Depreciation: ₹70,000	3. Other expenses: ₹38,000
4. Other administrative expenses: ₹80,000	

Possible Sales (₹) at Different Capacity Levels (per cent) Working:

1. 60%	₹ 9,50,000
2. 75%	₹ 11,50,000
3. 90%	₹ 13,75,000
4. 100%	₹ 15,25,000

Prepare a flexible budget and show the forecast of profit at 60, 75, 90, and 100 per cent capacity operations.

5. Krishna Ltd provided the following information: [6]

Particulars	2004-2005 (Amount in ₹)	2005-2006 (Amount in ₹)
Sales (₹ 10/ unit)	2,00,000	2,50,000
Profit	30,000	50,000

You are required to compute:

- P/V Ratio and Break-even point
- Total variable cost for 2004-2005 & 2005-2006
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Prepare the flexible budget for the period 2021-22 at 85% capacity and calculate the profit and contribution.

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Particulars	Amount (₹)
Sales (1,00,000 units)	1,00,000
Variable cost	40,000
Fixed cost	50,000

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From the information for the first half year
a) S...

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6. Discuss in detail **with suitable examples**: (Any four)

- Responsibility Accounting
- CVP Analysis
- The Concept of Consistency
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- Advantages and Limitation of Budgetary Control System

[12]

From the information given below you are required to prepare a Cash Budget of Govind Limited for the first half year of 2021, year of assuming that costs would remain unchanged. [7]

- a) Sales are both on credit and for cash, the latter being one third of the former.
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- f) The company has to pay the last instalment of advance tax, for assessment year 2021-22, amounting to ₹ 54,000.
- g) Anticipated office costs for the six-month period are -January ₹ 25,000; February ₹ 20,000; March ₹ 40,000; April ₹ 35,000; May ₹ 30,000 and June ₹ 45,000.
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- i) Rent payable is ₹ 2,000 per month.
- j) Sales forecast for the different months are:
Oct'20 - ₹ 160,000; Nov'20 - ₹ 1,80,000; Dec'20 - ₹ 2,00,000; Jan'21 - ₹ 2,20,000; Feb'21 - ₹ 1,40,000; Mar'21 - ₹ 1,60,000; Apr'21 - ₹ 1,50,000; May'21 - ₹ 2,00,000; Jun'21 - ₹ 1,80,000 and Jul'21 - ₹ 1,20,000.



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Time: 180 Minutes

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Questions 1-7 are of 6 marks each, and Question 8 is of 14 marks.
Calculators are allowed.

1. GAP Limited operates a system of standard costing in respect of one of its products which is manufactured within a single cost centre. Following are the details: [6]

Budgeted Data				Actual Data			
Material	Qty	Price (₹)	Amount (₹)	Material	Qty	Price (₹)	Amount (₹)
A	60	20	1200	A	70	?	?
B	40	30	1200	B	?	30	?
Inputs	100	50	2400				
Normal Loss	20	20					
Outputs	80	30	2400	Outputs	80		

Additional Information:

- Material Price Variance: ₹105 (Adverse)
- Material Cost Variance: ₹275 (Adverse)

You are required to calculate all relevant material variances.

2. A manufacturer with overall (interchangeable among the products) capacity of 1,00,000 machine hours has been so far producing a standard mix of 15,000 units of product A, 10,000 units of product B and C each. [6]

From experience, the total expenditure exclusive of his fixed charges is found to be ₹ 2.09 lakhs and the cost ratio among the products is approximately 1, 1.5, 1.75 respectively per unit. The fixed charges come to ₹ 2 per unit. When the unit selling prices are ₹ 6.25 for A, ₹ 7.5 for B and ₹ 10.5 for C. He incurs a loss.

	Mix-I	Mix-II	Mix-III
A	18,000	15,000	22,000
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C	7,000	13,000	8,000

As a management accountant what mix will you recommend?

3. Rama Ltd. is manufacturing and selling three products X, Y, and Z. The company has a standard costing system and analyzes the variances between the budget and the actuals periodically. Calculate all the relevant Sales Margin Variances from the following information: [6]

Product	Budgeted			Actual		
	Selling Price per unit (₹)	Cost per Unit (₹)	Quantity (units)	Selling Price per unit (₹)	Cost per Unit (₹)	Quantity (units)
X	50	16	20,000	48	15	24,000
Y	40	12	28,000	42	12.5	24,000
Z	30	9	32,000	31	10	30,000

4. The following data relate to the working of a small factory at Wardha for the current quarter: [6]

Capacity worked, 50 per cent	Capacity worked, 50 per cent
Fixed Costs:	Variable Costs:
1. Salaries: ₹84,000	1. Materials: ₹2,40,000
2. Rent and rates: ₹56,000	2. Labour: ₹2,56,000
3. Depreciation: ₹70,000	3. Other expenses: ₹38,000
4. Other administrative expenses: ₹80,000	

Possible Sales (₹) at Different Capacity Levels (per cent) Working:

1. 60%	₹ 9,50,000
2. 75%	₹ 11,50,000
3. 90%	₹ 13,75,000
4. 100%	₹ 15,25,000

50 → 2400
1 → 2400 × 70

Prepare a flexible budget and show the forecast of profit at 60, 75, 90, and 100 per cent capacity operations.

5. Krishna Ltd provided the following information: [6]

Particulars	2004-2005 (Amount in ₹)	2005-2006 (Amount in ₹)
Sales (₹ 10/ unit)	2,00,000	2,50,000
Profit	30,000	50,000

You are required to compute:

- P/V Ratio and Break-even point
- Total variable cost for 2004-2005 & 2005-2006
- Sales required to earn a profit of ₹ 60,000
- Profit/Loss when sales are ₹ 1,00,000
- Margin of Safety when Profit is ₹ 80,000
- During 2006-2007, due to increase in cost, variable costs are expected to rise to ₹ 7/unit and fixed cost to ₹ 55,000. If the selling price cannot be increased, what will the amount of sales be to maintain the profit for 2005-2006?

100
200000
200000

Sale
- Variable
= VC
Contri
- FC
= Profit

Dr B0

[6]

Calculate all the relevant Material and Labour Variances from the following information:

[6]

Materials:							
	Standard				Actual		
Materials	Qty. (kg)	Price (₹)	Amount (₹)		Qty. (kg)	Price (₹)	Amount (₹)
A	450	20	9,000		450	19	8,550
B	360	10	3,600		360	11	3,960
Inputs	810		12,600		810		12,510
Loss	90				50		
Output	720				760		

Labour:							
	Standard				Actual		
Labour	Hours	Rate (₹)	Amount (₹)		Hours	Rate (₹)	Amount (₹)
Skilled	2,400	2	4,800		2,400	2.25	5,400
Unskilled	1,200	1	1,200		1,200	1.25	1,500
Total	3,600		6,000		3,600		6,900

7. Prepare a Cash Budget from the data given below for a period of six months (July to December): [6]

(1) Details of sales and raw materials:

Month	Sales	Raw Materials
May	₹ 75,000	₹ 37,500
June	₹ 75,000	₹ 37,500
July	₹ 1,50,000	₹ 52,500
August	₹ 2,25,000	₹ 3,67,500
September	₹ 3,00,000	₹ 1,27,500
October	₹ 1,50,000	₹ 97,500
November	₹ 1,50,000	₹ 67,500
December	₹ 1,37,500	()

(2) Collection estimates:

- Within the month of sale: 5%
- During the month following the sale: 80%
- During the second month following the sale: 15%

(3) Payment for raw materials is made in the next month.

(4) Salary ₹11,250, Lease payment ₹3,750, Miscellaneous expenses ₹1,150 are paid each month.

(5) Monthly Depreciation ₹15,000.

(6) Income tax ₹26,250 each in September and December.

(7) Payment for research in October ₹75,000.

(8) Opening Balance on 1st July ₹55,000.

Note: Depreciation is a non-cash item. It does not involve cash flow.

192500

- ✓ 8. Discuss in detail **with suitable examples**: (Any four)
- a) Responsibility Accounting
 - ✓ b) Zero Base Budgeting
 - c) CVP Analysis
 - d) Advantages and Limitations of Budgetary Control
 - e) Standard Costing and its Significance
 - ✓ f) Advantages and Limitations of Marginal Costing

Instruction: All questions are compulsory. Calculator is allowed for the exam.

1. Fill in the blanks from the table given below.

[10 x 0.5 = 5]

In modern financial reporting, the accrual principle requires that revenues and expenses be recognized when they are... (1), irrespective of cash movement, ensuring that performance measurement reflects economic reality. Equally important is the principle of..... (2), which discourages overstatement of assets or income and mandates recognition of potential losses at the earliest opportunity. The double-entry system records every transaction with equal debit and credit effects, first through..... (3), which are chronological records of business events. These transactions are classified according to the three types of accounts..... (4), which deal with natural or artificial persons..... (5), which include tangible and intangible resources; and..... (6), which relate to expenses, incomes, gains, and losses. The debit-credit mechanism is embedded in these classifications: in personal accounts, the rule is "debit the..... (7) and credit the giver"; in real accounts, "debit what comes in, credit what goes out"; and in nominal accounts, "debit all expenses and losses, credit all..... (8)." Once transactions are posted to the..... (9), balances are summarized in a..... (10), which, while useful for preliminary verification, cannot by itself ensure compliance with principles or reveal errors of judgment.

ledger	incomes	prudence	contingent liability	journal entries
depreciation	personal accounts	capital expenditure	receiver	goodwill
nominal accounts	reserves	trial balance	incurred	real accounts

2. Distinguish between the following

[2 x 5 = 10]

- Cash basis of accounting vs. Accrual basis of accounting
- Going concern concept vs. Periodicity concept
- Convention of consistency vs. Convention of conservatism (Prudence)
- Fixed assets vs. Current assets
- Balance sheet vs. Profit & Loss account

3. ABC Ltd. commenced business on 1st April 2024 with a cash capital of ₹5,00,000. During the year ending 31st March 2025, the following transactions took place:

[5]

- Goods purchased for cash ₹1,20,000 and on credit from Alpha Ltd. ₹2,30,000. Later, goods worth ₹30,000 were returned to Alpha Ltd.
- Goods sold for cash ₹2,00,000 and on credit to Beta Ltd. ₹3,00,000. Later, goods worth ₹20,000 were returned by Beta Ltd. (Cost of goods sold = 70% of sales value).
- Wages paid ₹25,000; Salaries paid ₹35,000. Salaries outstanding at year-end amounted to ₹10,000.
- Furniture purchased ₹80,000 (Depreciation @10% p.a.) and Machinery purchased ₹1,50,000 (Depreciation @20% p.a.).
- Closing stock on 31st March 2025 was valued at ₹1,00,000.

Prepare the journal entries for the above.

4. Based on the following store transactions for July 2025,

[4 + 1.5 + 2 = 7.5]

Date	Particulars	Units	Rate (₹)	Notes
1-Jul	Opening Stock	300	50	-
3-Jul	Purchase	200	52	-
5-Jul	Issue	250	-	-
8-Jul	Purchase	400	55	-
10-Jul	Issue	300	-	-
12-Jul	Purchase	300	58	-
15-Jul	Issue	200	-	-
18-Jul	Purchase	500	60	-
20-Jul	Goods Returned (Purchase)	100	60	Returned to the supplier
22-Jul	Issue	350	-	-
25-Jul	Abnormal Loss	50	-	To be valued at cost of last purchase
28-Jul	Purchase	400	62	-
30-Jul	Issue	300	-	-
31-Jul	Closing Stock?			-

4.1 Prepare the Stores Ledger using:

- FIFO method
- LIFO method

4.2 Determine:

- Value of closing stock
- Cost of goods issued (COGI)

4.3 Interpret:

Under inflationary conditions, which method (FIFO or LIFO):

- Shows higher profit?
- Results in lower tax liability?
- Provides a more realistic closing stock valuation for the balance sheet?

5. Mr. XYZ gives you the following Trial Balance and some other information:

[7.5]

Trial Balances as on 31st March 2025

Particulars	Dr.	Cr.
Capital	-	8,70,000
Purchases and Sales	6,05,000	12,10,000

Opening Inventory	72,000	-
Trade receivables and Trade payables	90,000	1,70,000
14% Bank Loan (loan taken at year's end)	-	2,00,000
Overdrafts (overdraft taken at year's end)	-	1,12,000
Salaries	2,70,000	-
Advertisements	1,10,000	-
Other expenses	60,000	-
Returns	40,000	30,000
Furniture	4,50,000	-
Building	8,90,000	-
Cash in hand	2,000	-
Input CGST	9,000	-
Input SGST	9,000	-
Output IGST	-	15,000
	26,07,000	26,07,000

Closing Inventory on 31st March 2025 was valued at 1,00,000.

Prepare the Balance Sheet and Profit & Loss Account from the above Trial Balance.

Best of Luck

735000
640000
1522000